

Profit and Loss Account

The Profit and Loss account summarizes the activities of a company during an accounting period which may be a month, a quarter, six months, a year, or longer, and the result achieved by the company. It details the income earned by the company, its costs and the resulting profit or loss. It is, in effect, the performance appraisal not only of the company but also of its management — its competence, foresight and ability to lead.